Amendment of section 50AA.

21. In section 50AA of the Income-tax Act,—

(*a*) for the portion beginning with the words "Notwithstanding anything contained in" and ending with the words "short-term capital asset:", the following shall be substituted and shall be deemed to have been substituted with effect from the 23rd day of July, 2024, namely:—
"Notwithstanding anything contained in clause (*42A*) of section 2 or section 48, where the capital asset—
(*a*) is a unit of a Specified Mutual Fund acquired on or after the 1st day of April, 2023 or a Market Linked Debenture; or
(*b*) is an unlisted bond or an unlisted debenture which is transferred or redeemed or matures on or after the 23rd day of July, 2024,
the full value of consideration received or accruing as a result of the transfer or redemption or maturity of such debenture or unit or bond as reduced by—
(*i*) the cost of acquisition of the debenture or unit or bond; and
(*ii*) the expenditure incurred wholly and exclusively in connection with such transfer or redemption or maturity,
shall be deemed to be the capital gains arising from the transfer of a short-term capital asset:";

(*b*) in the *Explanation*, for clause (*ii*), the following clause shall be substituted with effect from the 1st day of April, 2026, namely:—
'(*ii*) "Specified Mutual Fund" means,—
(*a*) a Mutual Fund by whatever name called, which invests more than sixty-five per cent of its total proceeds in debt and money market instruments; or
(*b*) a fund which invests sixty-five per cent or more of its total proceeds in units of a fund referred to in sub-clause (*a*):

Provided that the percentage of investment in debt and money market instruments or in units of a fund, as the case may be, in respect of the Specified Mutual Fund, shall be computed with reference to the annual average of the daily closing figures:

Provided further that for the purposes of this clause, "debt and money market instruments" shall include any securities, by whatever name called, classified or regulated as debt and money market instruments by the Securities and Exchange Board of India.'.

सत्यमेव जयते
कोष मूलो दण्ड:
INCOME TAX DEPARTMENT